

Alumex PLC

Interim Report



1

First Quarter

3 Months Ended 30th June, 2017

Income Statements

For the period ended 30th June, 2017

<u>Consolidated</u>		<u>Company</u>	<u>Consolidated</u>			<u>Company</u>		
Audited year ended 31.03.17 Rs.'000	Audited year ended 31.03.17 Rs.'000		Unaudited 3 months to 30.06.17 Rs.'000	Unaudited 3 months to 30.06.16 Rs.'000	Change %	Unaudited 3 months to 30.06.17 Rs.'000	Unaudited 3 months to 30.06.16 Rs.'000	Change %
4,728,319	4,115,268	Revenue	890,590	830,431	7	778,086	733,164	6
(93,559)	(81,300)	Less-NBT	(17,722)	(16,606)	7	(15,447)	(14,661)	5
4,634,760	4,033,968	Net Revenue	872,869	813,825	7	762,639	718,503	6
(3,188,336)	(2,918,086)	Cost of sales	(683,541)	(598,146)	14	(633,008)	(547,153)	16
1,446,424	1,115,882	Gross profit	189,328	215,679	(12)	129,631	171,350	(24)
26,048	205,200	Other income	1,525	1,373	11	55,525	1,373	>100
(105,081)	(103,070)	Distribution expenses	(40,976)	(30,553)	34	(40,096)	(26,541)	51
(317,114)	(301,713)	Administrative expenses	(64,459)	(53,006)	22	(60,120)	(50,925)	18
1,050,277	916,299	Results from operating activities	85,418	133,493	(36)	84,940	95,257	(11)
14,307	8,958	Finance Income	5,461	5,424	1	5,167	4,040	28
(48,184)	(60,769)	Finance Costs	(31,382)	(3,851)	>100	(31,165)	(8,523)	>100
(33,877)	(51,811)	Net finance costs	(25,921)	1,572	>100	(25,998)	(4,483)	>100
1,016,400	864,488	Profit before tax	59,497	135,065	(56)	58,942	90,773	(35)
(262,904)	(201,319)	Tax expense	(16,219)	(31,326)	(48)	1,312	(24,841)	>100
753,496	663,169	Profit for the period	43,277	103,739	(58)	60,254	65,932	(9)
753,496		Attributable to: Owners of the parent	43,277	103,739				
2.52	2.22	Earnings per share Basic earnings per share (Rs.)	0.14	0.35		0.20	0.22	

Statements of Comprehensive Income

<u>Consolidated</u>		<u>Company</u>	<u>Consolidated</u>			<u>Company</u>		
Audited year ended 31.03.17 Rs.'000	Audited year ended 31.03.17 Rs.'000		Unaudited 3 months to 30.06.17 Rs.'000	Unaudited 3 months to 30.06.16 Rs.'000	Change %	Unaudited 3 months to 30.06.17 Rs.'000	Unaudited 3 months to 30.06.16 Rs.'000	Change %
753,496	663,169	Profit for the Period	43,277	103,739	(58)	60,254	65,932	(9)
Other Comprehensive Income								
(4,295)	(3,777)	Actuarial gains / (losses) on defined benefit plans	-	-		-	-	-
1,161	1,057	Income tax effect on actuarial gains / (losses)	-	-		-	-	-
101,105	86,613	Revaluation of land	-	-		-	-	-
97,971	83,893	Other comprehensive Income for the period, net of tax	-	-		-	-	-
851,467	747,062	Total comprehensive Income for the period, net of tax	43,277	103,739	(58)	60,254	65,932	(9)
851,467		Attributable to Owners of the parent	43,277	103,739				

Statements of Financial Position

<u>Consolidated</u>	<u>Company</u>		<u>Consolidated</u>		<u>Company</u>
Audited	Audited		Unaudited	Unaudited	Unaudited
as at	as at		as at	as at	as at
31.03.17	31.03.17		30.06.17	30.06.16	30.06.16
<u>Rs.'000</u>	<u>Rs.'000</u>	<u>Notes</u>	<u>Rs.'000</u>	<u>Rs.'000</u>	<u>Rs.'000</u>
ASSETS					
Non - current assets					
1,915,818	1,704,715	Property, plant & equipment	2,005,457	1,312,184	1,795,424
42,121	42,121	Intangible assets	42,609	39,027	42,609
-	30,000	Investments in subsidiaries	-	-	30,000
<u>1,957,939</u>	<u>1,776,836</u>	Total non-current assets	<u>2,048,066</u>	<u>1,351,211</u>	<u>1,868,033</u>
Current assets					
1,149,079	907,919	Inventories	1,195,479	923,897	981,553
864,221	715,534	Trade and other receivables	683,771	405,246	573,104
126,014	124,827	Advances and prepayments	166,019	19,897	162,824
1,233	1,233	Other current financial assets	1,233	1,551	1,233
165,332	154,774	Cash & cash equivalents	35,090	323,423	29,462
<u>2,305,879</u>	<u>1,904,287</u>	Total current assets	<u>2,081,593</u>	<u>1,674,014</u>	<u>1,748,176</u>
<u>4,263,818</u>	<u>3,681,123</u>	Total assets	<u>4,129,659</u>	<u>3,025,225</u>	<u>3,616,209</u>
EQUITY AND LIABILITIES					
283,735	283,735	Stated capital	283,735	283,735	283,735
228,056	228,056	Capital reserve	228,056	228,056	228,056
552,267	526,750	Revaluation reserve	550,946	455,126	525,428
1,251,876	758,333	Revenue reserves	1,146,823	900,592	670,256
<u>2,315,934</u>	<u>1,796,874</u>	Total equity attributable to owners of the parent	<u>2,209,560</u>	<u>1,867,509</u>	<u>1,707,475</u>
-	-	Non- controlling interest	-	-	-
<u>2,315,934</u>	<u>1,796,874</u>	Total Equity	<u>2,209,560</u>	<u>1,867,509</u>	<u>1,707,475</u>
Non - current liabilities					
512,000	512,000	Interest bearing borrowings	480,000	-	480,000
91,248	82,638	Employee benefit obligations	93,958	83,549	85,047
106,139	102,395	Deferred tax liability	101,660	86,285	97,895
<u>709,387</u>	<u>697,033</u>	Total non-current liabilities	<u>675,618</u>	<u>169,834</u>	<u>662,942</u>
Current liabilities					
1,106,676	1,107,504	Trade and other payables	718,420	838,143	752,513
47,703	16,821	Interest bearing borrowings	477,249	-	470,778
9,355	7,715	Provisions	10,127	7,444	8,299
74,763	55,176	Income tax payable	38,685	142,295	14,203
<u>1,238,497</u>	<u>1,187,216</u>	Total current liabilities	<u>1,244,481</u>	<u>987,882</u>	<u>1,245,792</u>
<u>1,947,884</u>	<u>1,884,249</u>	Total liabilities	<u>1,920,099</u>	<u>1,157,716</u>	<u>1,908,734</u>
<u>4,263,818</u>	<u>3,681,123</u>	Total equity and liabilities	<u>4,129,659</u>	<u>3,025,225</u>	<u>3,616,209</u>

The Financial Position as at 30th June, 2017 and Income Statements ,Statements of Comprehensive Income, Changes in Equity and Cash Flow for the three months then ended are drawn up from the unaudited financial statements of the Company, its Subsidiary and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007 .

Sgd

R P P K Rajapaksha

Chief Financial Officer

Signed for and on behalf of the Board

Sgd

A M Pandithage

Chairman

02nd August 2017

Sgd

R P Peris

Managing Director

Statements of Changes in Equity

For the period ended 30th June, 2017

Consolidated

	Attributable to owners of the parent					
	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Shareholders' Funds	Total Equity
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2017	283,735	228,056	552,267	1,251,876	2,315,935	2,315,935
Profit for the period	-	-	-	43,277	43,277	43,277
Other Comprehensive Income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-	-
Revaluation of land	-	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	43,277	43,277	43,277
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(149,651)	(149,651)	(149,651)
Recovery for the period	-	-	-	-	-	-
Transfers	-	-	(1,321)	1,321	-	-
Total contributions by and distributions to owners	-	-	(1,321)	(148,330)	(149,651)	(149,651)
Balance as at 30th June 2017	283,735	228,056	550,946	1,146,823	2,209,560	2,209,560
Balance as at 1st at April, 2016	283,735	228,056	456,447	930,218	1,898,456	1,898,456
Profit for the period	-	-	-	103,739	103,739	103,739
Other Comprehensive Income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-	-
Revaluation of land	-	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	103,739	103,739	103,739
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(134,686)	(134,686)	(134,686)
Recovery for the period	-	-	-	-	-	-
Transfers	-	-	(1,321)	1,321	-	-
Total contributions by and distributions to owners	-	-	(1,321)	(133,365)	(134,686)	(134,686)
Balance as at 30th June 2016	283,735	228,056	455,126	900,592	1,867,509	1,867,509

Statements of Changes in Equity

For the period ended 30th June, 2017

Company

	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2017	283,735	228,056	526,750	758,333	1,796,873
Profit for the period	-	-	-	60,254	60,254
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)				-	-
Revaluation of land	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	60,254	60,254
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(149,651)	(149,651)
Transfers			(1,321)	1,321	-
Total contributions by and distributions to owners	-	-	(1,321)	(148,330)	(149,651)
Balance as at 30th June 2017	283,735	228,056	525,428	670,256	1,707,476
Balance as at 1st at April, 2016	283,735	228,056	445,422	526,711	1,483,924
Profit for the period	-	-	-	65,932	65,932
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans				-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	65,932	65,932
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(134,686)	(134,686)
Transfers			(1,321)	1,321	-
Total contributions by and distributions to owners	-	-	(1,321)	(133,365)	(134,686)
Balance as at 30th June 2016	283,735	228,056	444,101	459,278	1,415,170

Cash Flow Statements

For the period ended 30th June, 2017

Consolidated	Company		Consolidated		Company	
			Unaudited	Unaudited	Unaudited	Audited
Audited	Audited	Cash Flows from Operating Activities	3 months to	3 months to	3 months to	3 months to
as at	as at		30.06.17	30.06.16	30.06.17	30.06.16
31.03.17	31.03.17		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Rs.'000	Rs.'000					
1,016,400	864,488	Profit before taxation	59,497	135,065	58,942	90,773
		Adjustments for,				
6,314	24,664	Finance cost	19,440	43	21,035	4,894
(9,028)	(4,164)	Finance income	(4,688)	(2,423)	(4,395)	(1,251)
11,769	10,720	Provision for gratuity	3,932	4,027	3,632	3,754
2,038	2,038	(Profit)/ loss on disposal of property, plant and equipment	-	-	-	-
(8,480)	(4,731)	Provision for bad debts	462	237	234	(446)
-	-	Provision for Impairment of Investment	-	-	-	-
109,629	96,904	Depreciation and amortisation	28,836	27,569	25,201	23,866
1,128,642	989,919	Operating profit before working capital changes	107,478	164,517	104,650	121,591
(294,983)	(206,951)	(Increase)/ decrease in inventories	(52,505)	(67,851)	(79,514)	(35,589)
(366,452)	(269,227)	(Increase)/ decrease in trade and other receivables	171,907	101,813	135,644	64,030
(87,913)	(89,855)	(Increase)/ decrease in advances and prepayments	(40,006)	18,204	(37,997)	19,340
438,908	409,189	Increase/ (decrease) in trade and other payables	(387,485)	33,776	(354,408)	(38,044)
81,820	833,076	Cash generated from operating activities	(200,610)	250,458	(231,625)	131,327
(6,314)	(24,664)	Finance cost paid	(19,440)	(43)	(21,035)	(4,894)
(283,870)	(224,809)	Income tax paid	(48,695)	(24,201)	(37,612)	(23,220)
(4,338)	(3,217)	Retirement benefit liability paid	(1,223)	-	(1,223)	-
523,680	580,386	Net cash from operating activities	(269,968)	226,215	(291,495)	103,213
		Cash Flows from Investing Activities				
(643,998)	(656,162)	Acquisition of property, plant and equipment	(112,856)	(40,581)	(110,517)	(18,754)
15,642	15,642	Proceeds from sale of property, plant and equipment	-	-	-	-
(100)	(100)	Proceeds from short term investments	-	-	-	-
9,028	4,164	Finance income received	4,688	2,423	4,395	1,251
(619,428)	(636,456)	Net cash flows used in investing activities	(108,168)	(38,158)	(106,123)	(17,503)
		Cash Flows from Financing Activities				
(553,084)	(553,084)	Repayment of interest bearing loans and borrowings	(178,380)	(3,084)	(80,486)	(3,084)
1,092,882	1,062,000	Proceeds from interest bearing loans and borrowings	492,842	-	425,830	-
-	-	Principal payments under finance lease liabilities	-	-	-	-
-	-	New shares Issue	-	-	-	-
(433,989)	(433,989)	Dividend paid	(149,651)	-	(149,651)	-
105,809	74,927	Net cash flows from/ (used in) financing activities	164,810	(3,084)	195,692	(3,084)
10,061	18,857	Net increase/ (decrease) in cash and cash equivalents	(213,326)	184,973	(201,925)	82,626
-	1,593	Cash and cash equivalents of Alumex Systems (Private) Limited	-	-	-	-
138,450	117,503	Cash and cash equivalents at the beginning of the period	148,511	138,450	137,953	117,503
148,511	137,953	Cash and cash equivalents at end of the period	(64,815)	323,423	(63,972)	200,128
		Analysis of Cash & Cash Equivalents				
165,332	154,774	Cash in Hand and at Bank	35,090	323,423	29,462	200,128
(16,821)	(16,821)	Bank Overdraft	(99,905)	-	(93,434)	-
148,511	137,953	Cash and cash equivalents at end of the period	(64,815)	323,423	(63,972)	200,128

Notes to the Financial Statements

- 1 The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34- Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2017.

There were no changes to the Accounting Policies and methods of computation since the publication of the Annual Report for the financial year 2016/17.

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

- 2 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.
- 3 Basic Earning Per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding during the period

<u>Consolidated</u>		<u>Consolidated</u>	
Audited as at 31.03.17 Rs.'000		Unaudited as at 30.06.17 Rs.'000	Unaudited as at 30.06.16 Rs.'000
753,496	Profit for the Period	43,277	103,739
299,302,840	Weighted Average No. of Shares	299,302,840	299,302,840
2.52	Earning Per share	0.14	0.35

4 STATED CAPITAL

Audited as at 31.03.17 Rs.'000		Unaudited as at 30.06.17 Rs.'000	Unaudited as at 30.06.16 Rs.'000
283,735	Issued and fully paid	283,735	283,735
299,302,840	Ordinary Shares		

- 5 During the period there were no material changes in the composition of assets, liabilities and contingent liabilities and there is no seasonality and cyclicity affecting the interim operation.
- 6 Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.

Investor Information

MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	30.06.2017
	Rs.
Closing price on	24.80
Highest price recorded for the three months ending	25.00
Lowest price recorded for the three months ending	19.00
Market capitalisation (Rs. Mn.)	7,423

RATIOS

	30.06.2017	30.06.2016
Net assets per share	7.38	6.24
Price earnings ratio (times) (Annualised)	42.88	12.12
Return on Equity	8.49%	23.45%
Return on Assets	4.19%	13.71%
Current Ratio	1.67	1.69
Gearing	30%	-

DIVIDEND PAYMENT

2nd Interim Dividend 2016/17 - Rs.0.50 per share paid on 06th June , 2017.

SHARE TRADING FROM 1ST APRIL, 2017 TO 30TH JUNE, 2017

No. of transactions	2,716
No. of shares traded	15,361,210
Value of shares traded (Rs.)	352,028,053

Investor Information

FIRST TWENTY SHAREHOLDERS AS AT 30 JUNE 2017

	Name of the Shareholder	No.of Shares	%
1	Hayleys PLC	157,413,032	52.59
2	Alkbar Brothers Pvt Ltd A/C No.1	40,417,782	13.50
3	Rosewood (Pvt) Ltd - Account No.01	29,340,300	9.80
4	Dean Foster (Pvt) Ltd A/C No.1	14,213,900	4.75
5	Mr. D.W.P.N.Dediwela	10,669,200	3.56
6	Union Assurance PLC /Account No.5 (Unit-Linked Life Insurance Fund-Equity Fund)	3,044,222	1.02
7	Ceylon Investment PLC A/C No.1	2,260,000	0.76
8	Mr.A.G.S.Swaminathan	1,400,000	0.47
9	Mr.T.H.D.I.U.Thrimanne	1,081,040	0.36
10	Insite Holdings (Pvt) Ltd	1,000,000	0.33
	Mr.K.D.H.Perera	1,000,000	0.33
	Mr.N.P.De A.Samaranayake	1,000,000	0.33
11	Hatton National Bank PLC A/C No.4 (HNB Retirement Pension Fund)	900,000	0.30
12	Arunodhaya (Private) Limited	875,000	0.29
	Arunodhaya Industries (Private) Limited	875,000	0.29
	Arunodhaya Investments (Private) Limited	875,000	0.29
13	Deutsche Bank AG As Trustee for Guardian Acuity Equity Fund	800,000	0.27
14	Commercial Bank of Ceylon PLC A/C No.01	714,200	0.24
	Mr. M.L.Hirdaramani	714,200	0.24
	Mr.S.J.Hirdaramani	714,200	0.24
15	East India Holding (Pvt) Ltd	668,515	0.22
16	The Ceylon Chamber of Commerce Account No.02	630,000	0.21
17	Mr.K.N.J.Balendra	622,365	0.21
18	Mr.K.Balendra & Mrs.S.Balendra	603,683	0.20
19	Guardian Fund Management Limited/The Aitken Spence & Associate Companies Executive Staff Provident Fund	600,000	0.20
20	Waldock Mackenzie Ltd/Hi Line Trading (Pvt) Ltd	555,308	0.19
	Total	272,986,947	91.19

There were no non voting shares as at 30th June 2017

The Public Holding percentage , as defined under Colombo Stock Exchange rules, was 15.67% as at 30th June 2017

Total number of shareholders representing the public holding were 2,084 as at 30th June 2017

DIRECTORS' SHAREHOLDINGS AS AT 30 JUNE 2017

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No.of Shares
Mr.A.M.Pandithage	10,000
Mr.R.P.Peris	70,000
Mr.D.W.P.N.Dediwela	10,669,200
Mr.R.P.Pathirana	243,949
Mr.S.Munaweera	20,000
Total	11,013,149

Corporate Information

NAME OF COMPANY

Alumex PLC

(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTIN

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

REGISTERED OFFICE

Pattiwila Road,

Sapugaskanda, Makola,

Sri Lanka

Telephone: +94 11 240 0332

Facsimile: +94 11 240 0415

Website: www.alumexgroup.com

DIRECTORS

A M Pandithage – Chairman

R P Peris -Managing Director

S C Ganegoda

R P Pathirana

A A Akbarally

D W P N Dediwela

Dr.H.Cabral, PC

S Munaweera

A J Hirdaramani (Alternate Director to R P Pathirana)

T Akbarally (Alternate Director to A A Akbarally)

AUDIT COMMITTEE

S Munaweera - Chairman

Dr.H.Cabral, PC

R P Pathirana

REMUNERATION COMMITTEE

Dr.H.Cabral, PC – Chairman

S Munaweera

SUBSIDIARY COMPANY

Alco Industries (Pvt) Ltd

AUDITORS

Ernst & Young

Chartered Accountants

No. 201, De Seram Place

Colombo 10, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affaires Unit

Telephone: +94 11 262 7610

E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited

400, Deans Road, Colombo 10, Sri Lanka

Telephone: +94 11 262 7650

Facsimile: +94 11 262 7655

E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC

Foreign Branch

Commercial House

NO 21, Sir Razik Fareed Mawatha

Colombo 01, Sri Lanka

Sampath Bank PLC

Head Office,

No. 110, Sir James Peiris Mawatha

Colombo 02, Sri Lanka

Bank Of Ceylon

Corporate Branch

2nd Floor, Head Office

No. 04, Bank of Ceylon Mawatha

Colombo 01, Sri Lanka

Hatton National Bank PLC

Head office

HNB Towers

No. 479, T. B. Jayah Mawatha

Colombo 10, Sri Lanka

DFCC Bank PLC

No. 73, W A D Ramanayake Mawatha

Colombo 02, Sri Lanka

Standard Chartered Bank

37, York Street

Colombo 1, Sri Lanka